

Calendar Line 7

Case Name: Umesh Maharaj et al. v. Joe Velasco et al.

Case No.: 25CV459260

Defendants Joe Velasco, Viridiana Velasco, and Velasco Group, Inc.’s (collectively, Defendants) demurrer to the first amended complaint. Notice is proper and the demurrer is opposed by Plaintiffs Umesh Maharaj (Maharaj) and Bay Area Property Development (BAPD; collectively, Plaintiffs).

This is a developer-investor dispute brought by Plaintiffs against Defendants concerning two property development projects: 277 O’Conner Street, Menlo Park, California (O’Conner Project) and 2907 Oaklane Avenue, Austin, Texas (Oaklane Project).

Plaintiffs filed their original complaint in February 2025. Plaintiffs filed the operative first amended complaint (FAC) in September 2025, alleging five causes of action: (1) breach of contract; (2) accounting; (3) false promise; (4) negligent misrepresentation; and (5) intentional misrepresentation.

The FAC alleges that defendant Joe Velasco emailed Maharaj in June 2021, seeking a \$750,000 investment for the O’Conner Project. Joe promised a \$160,000 to \$200,000 return on the investment, secured by a promissory note between Defendants and BAPD (O’Conner Note). (FAC, ¶¶ 11, 16; Ex. 1. For clarity, and meaning no disrespect, defendant Joe Velasco will be referred to by his first name in this order.) Plaintiffs expected the return of the initial \$750,000 investment and an estimated payout of \$157,786.60 by November 2022. (*Id.* at ¶ 16.) Plaintiffs made the investment. (FAC, ¶¶ 14, 15.) Defendants returned the initial investment in three installments well after the contracted payment date. Defendants never paid the interest owed. (*Id.* at ¶¶ 18, 20.)

BAPD invested \$350,000 in June 2022, as a general member with a 15% equity share, in the Oaklane Project after Joe pitched the project. (Complaint, ¶¶ 22, 24.) BAPD and Defendants executed a promissory note under which BAPD would receive interest on the unpaid principal balance of the note at the 15% equity rate and a return of the initial investment (Oaklane Note). (*Id.* at ¶ 27.) The estimated payout was \$170,995.65, with a projected payment in December 2023. (*Ibid.*) Defendants paid \$116,666.67 in July 2024, but did not pay the remaining amount due and owing under the Oaklane Note. (*Id.* at ¶ 34.)

LEGAL STANDARDS FOR DEMURRERS

In ruling on a demurrer, the court accepts as true all properly pleaded material factual allegations but does not accept as true contentions, deductions or conclusions of fact or law. (*Valero v. Spread Your Wings, LLC* (2023) 88 Cal.App.5th 243, 253.) Code of Civil Procedure section 430.60 states that “[a] demurrer shall distinctly specify the grounds upon which any of the objections to the complaint, cross-complaint, or answer are taken. Unless it does so, it may be disregarded.” The California Rules of Court also require that the demurrer itself (distinct from a supporting memorandum) specify the target of any objection and the grounds. (Cal. Rules of Court, rules 3.1103(c), 3.1112(a), 3.1320(a) [“Each ground of demurrer must be in a separate paragraph and must state whether it applies to the entire complaint, cross-complaint, or answer, or to specified causes of action or defenses.”].)

Where a demurrer is to an amended complaint or cross-complaint, the court “may consider the factual allegations of prior complaints, which a plaintiff may not discard or avoid by making contradictory averments, in a superseding, amended pleading.” (*Berg & Berg Enterprises, LLC v. Boyle* (2009) 178 Cal.App.4th 1020, 1034, internal quotations omitted (*Berg & Berg*); see also *Doe v. United States Youth Soccer Assoc.* (2017) 8 Cal.App.5th 1118, 1122.)

The court cannot consider extrinsic evidence when ruling on a demurrer. This includes declarations. The court has considered the declaration from Shawn Parr filed in support of the demurrer only to the extent it discusses the meet and confer efforts required by statute.

DISCUSSION

Defendants demur to the entire FAC, and also demur to each cause of action.

Demurrer to the Entire FAC

Defendants demur to the entire FAC on the ground that the pleading fails to state facts sufficient to constitute a cause of action because Maharaj lacks standing and privity to bring the breach of contract and accounting claims. (See demurrer.) Defendants also demur to the entire FAC on the ground that the general allegations of “Plaintiff” where there are two plaintiffs in this action renders the pleading uncertain, ambiguous, and unintelligible. (See *ibid.*)

The court overrules the demurrer to the entire FAC because (1) Defendants’ argument regarding standing and privity only pertains to two out of five causes of action; and (2) Defendants do not substantively argue that the FAC is uncertain. (*Public Employment Relations Bd. v. Bellflower Unified School Dist.* (2018) 29 Cal.App.5th 927, 939 (*Public Employment*) [“The absence of cogent legal argument or citation to authority allows this court to treat the contention as waived.”].)

Maharaj’s Standing to Sue (First and Second Causes of Action)

In demurring to the first cause of action for breach of written contract and second cause of action for accounting, Defendants argue that Maharaj has no standing to bring these claims because the two contracts forming the bases of these claims—the O’Conner Note and Oaklane Note—are solely between BAPD and Defendants. (See FAC, ¶¶ 55, 63; see also *id.* at Exs. 2-3.)

Standing goes to the existence of a cause of action. A plaintiff must demonstrate that he or she has some special interest to be served or a particular right to be preserved or protected. (*Spotlight on Coastal Corruption v. Kinsey* (2020) 57 Cal.App.5th 874, 882.)

Maharaj contends that he has standing as a third-party beneficiary of the two promissory notes. But the FAC does not contain any allegations supporting that theory. The FAC alleges “Plaintiff used cash, tapped into an existing home equity line of credit and accessed other loans for the \$750,000 investment amount.” But it is unclear *which* Plaintiff took these actions. (FAC, ¶ 15; see *id.* at ¶ 25 [alleging “Plaintiff” funded the O’Conner Note].) Plaintiffs’ citations to *Principal Mut. Life Ins. Co. v. Vars* (1998) 65 Cal.App.4th 1469,

1485 (*Principal*) and *Kaiser Eng'rs v. Grinnell Fire Prot. Sys. Co.* (1985) 173 Cal.App.3d 1050, 1055 (*Kaiser*) are unpersuasive. Both cases permit a third party to enforce a contract only “if it can be shown that he or she is a member of the class for whose express benefit the contract was made.” (*Kaiser, supra*, 173 Cal.App.3d at p. 1055.) Plaintiffs have not made this showing through allegations in the FAC. And the promissory notes do not express an intent for Maharaj to benefit as a third party. (*Principal, supra*, 65 Cal.App.4th at p. 1486 [“A third party may qualify as a contract beneficiary where the contracting parties must have intended to benefit that individual, an intent which must appear in the terms of the agreement.”].) Absent allegations supporting Maharaj’s third-party beneficiary theory, the breach of contract and accounting claims are subject to demurrer.

The demurrer to the first and second causes of action based on Maharaj’s lack of standing is sustained.

Sufficiency of the Fraud Claims (Third, Fourth, and Fifth Causes of Action)

In demurring to the third cause of action for false promise, fourth cause of action for negligent misrepresentation, and fifth cause of action for intentional misrepresentation, Defendants assert that Plaintiffs have not adequately alleged the fraud claims with the requisite specificity.

The elements of fraud are: (1) the defendant made a false representation as to a past or existing material fact; (2) the defendant knew the representation was false at the time it was made; (3) in making the representation, the defendant intended to deceive the plaintiff; (4) the plaintiff justifiably relied on the representation; and (5) the plaintiff suffered resulting damages.” (*West v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 780, 792, citation omitted.)

Each element in a fraud cause of action must be pleaded with specificity. (*Lazar v. Super. Ct.* (1996) 12 Cal.4th 631, 645 (*Lazar*).) A plaintiff must plead “facts which show how, when, where, to whom, and by what means the representations were tendered.” (*Id.* at p. 645, quotations omitted.) In the case of a corporate defendant, the plaintiff must also “allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.” (*Ibid.*, citation and quotations omitted.)

Third Cause of Action – False Promise

The FAC alleges that, in July 2021 and June 2022, Defendants falsely promised, via the O’Conner Note and Oaklane Note, to pay a 20% equity share of the profits and interests on the sale of the O’Conner Property and a 15% equity share of the profits and interest on the sale of the Oakland Property. (FAC, ¶¶ 16, 27, 67, 69.)

Defendants contend that under *Reeder v. Specialized Loan Servicing LLC* (2020) 52 Cal.App.5th 795, 804 (*Reeder*), the false promise claim is insufficiently pleaded because it does not allege facts showing Defendants’ intent not to perform at the time the promise was made, only that Defendants have since failed to perform on the promissory note. In *Reeder*, the court noted that an unkept but honest promise or subsequent failure to perform on a

promise is insufficient to establish a defendant's intent not to perform the alleged promise. (*Id.* at p. 804.)

Plaintiffs do not meaningfully address *Reeder*. They instead insist, without citation to legal authority, that the repeated failure to perform indicates the false nature of the promise. (See *Public Employment, supra*, 29 Cal.App.5th at p. 939 [arguments not supported by reasoned argument are forfeited].) The FAC alleges, "Plaintiffs believe there was never any intent to pay any of the contracted-for benefit of the contract." But the FAC is devoid of allegations—beyond the mere failure to perform—supporting that belief. (FAC, ¶¶ 39, 43 [alleging intent based on a history of failure to perform]; see *Brown v. USA Taekwondo* (2019) 40 Cal.App.5th 100, 1106 [requiring allegations of information and belief to also plead information leading the plaintiff to believe the allegation is true].)

The demurrer to the third cause of action is sustained.

Fourth and Fifth Causes of Action – Negligent and Intentional Misrepresentation

The FAC alleges that Defendants "grossly misrepresented" their expertise in real estate development and their ability to complete the development projects in pursuing Plaintiffs for investment in the real estate projects. (FAC, ¶¶ 75-77, 83-85.)

Defendants contend that the misrepresentation claims are inadequately pleaded because the FAC "lumps" the Defendants together without identifying which of the Defendants made specific misrepresentations. An intentional or negligent misrepresentation claim cannot be adequately alleged against multiple individuals and an entity through general allegations about "Defendants." Each element must be alleged with specificity as to each named defendant the claim is brought against. (*Lazar, supra*, 12 Cal.4th at p. 645.)

Each misrepresentation claim alleges that all "Defendants" made misrepresentations about their experience and abilities and pursued Plaintiffs to invest. (FAC, ¶¶ 75-77, 83-85.) The general factual allegations, however, allege only that Joe misrepresented his experience in the real estate business and Plaintiffs' expected payout and that Joe pursued Maharaj or BAPD for an investment. (*Id.* at ¶¶ 11, 13-14, 22.) The FAC also does not allege how or when Joe made misrepresentations about his experience and abilities.

In opposition, Plaintiffs insist that Defendants cannot claim ignorance on who made certain misrepresentations or when and how misrepresentations were made because the information has been shielded from the Plaintiffs. Plaintiffs accuse Defendants of intentionally withholding information in discovery, precluding Plaintiffs from refining any allegations. But Plaintiffs are aware who made misrepresentations to them, when they were made, and how they were made. Those details are not facts that courts have recognized those that lie more in the knowledge of Defendants. (See *Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 217.)

The demurrer to the fourth and fifth causes of action is sustained.

Leave to Amend

A plaintiff bears the burden of proving an amendment would cure any defect identified on demurrer. (*Schifando v. City of Los Angeles* (2003) 31 Cal.4th 1074, 1081.) Plaintiffs' opposition failed to meet that burden. The opposition neither requests leave to amend nor explains how the pleading defects could be cured. But because this is the first pleading challenge, the court will grant leave to amend. (*City of Stockton v. Super. Ct.* (2007) 42 Cal.4th 730, 747 [leave to amend is liberally allowed as a matter of fairness, unless the pleading shows on its face that it is incapable of amendment].)

CONCLUSION

Defendants' demurrer to the entire FAC is overruled.

Defendants' demurrer to the first and second causes of action as to Maharaj's standing to sue is sustained with leave to amend.

Defendants' demurrer to the third, fourth, and fifth causes of action based on failing to plead fraud is specificity is sustained with leave to amend.

Any amended pleading must be filed and served no later than August 7, 2026.

The court will prepare the order.

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Calendar Line 8

Case Name: Joseph Stone v. Dennis Lee et al.

Case No.: 25CV467393

This is primarily an action for employment discrimination and retaliation brought by plaintiff Joseph Stone (Plaintiff) against his former employer Omnicell, Inc. (Omnicell) and defendant Dennis Lee (Lee). The original and still operative complaint was filed in June 2025. The complaint alleges eight causes of action: (1) waiting time penalties (Lab. Code, §§ 201-203); (2) disability discrimination (violation of the Fair Employment and Housing Act (FEHA); Gov. Code, § 12900 et seq.); (3) failure to provide reasonable accommodation (FEHA); (4) failure to engage in interactive process (FEHA); (5) retaliation (FEHA); (6) constructive termination; (7) unfair competition; and (8) retaliation (Lab. Code, § 1102.5). The first cause of action is the only cause of action alleged against defendant Lee. The remaining causes of action are alleged against Omnicell and Doe defendants.

The case was removed to federal court in June 2025. It was remanded to this court in March 2026. At issue is Lee’s demurrer to the complaint’s first cause of action, opposed by Plaintiff.

REQUEST FOR JUDICIAL NOTICE

Lee has submitted a request for judicial notice with his demurrer. “Judicial notice may not be taken of any matter unless authorized or required by law.” (Evid. Code, § 450.) A precondition to judicial notice in either its permissive or mandatory form is that the matter to be noticed be relevant to the material issue before the court. (*Silverado Modjeska Recreation and Park Dist. v. County of Orange* (2011) 197 Cal.App.4th 282, 307.) Evidence Code section 453, subdivision (b), requires a party seeking notice to “[furnish] the court with sufficient information to enable it to take judicial notice of the matter.”

Lee seeks judicial notice of a copy of the federal district court’s remand order, attached as exhibit 1 to the request. The request is denied as unnecessary. (See *Bolanos v. Superior Court* (2008) 169 Cal.App.4th 744, 761 [a written trial court ruling has no precedential value]; *In re Marriage of Shaban* (2001) 88 Cal.App.4th 398, 409 [there is no “horizontal stare decisis”].)

LEGAL STANDARDS FOR DEMURRER

In ruling on a demurrer, the court accepts as true all properly pleaded material factual allegations but does not accept as true contentions, deductions or conclusions of fact or law. (*Valero v. Spread Your Wings, LLC* (2023) 88 Cal.App.5th 243, 253.) Code of Civil Procedure section 430.60 states that “[a] demurrer shall distinctly specify the grounds upon which any of the objections to the complaint, cross-complaint, or answer are taken. Unless it does so, it may be disregarded.” The California Rules of Court also require that the demurrer itself (distinct from a supporting memorandum) specify the target of any objection and the grounds. (Cal. Rules of Court, rules 3.1103(c), 3.1112(a), 3.1320(a) [“Each ground of demurrer must be in a separate paragraph and must state whether it applies to the entire complaint, cross-complaint, or answer, or to specified causes of action or defenses.”].)

The court cannot consider extrinsic evidence when ruling on a demurrer. This includes declarations. The court has considered the declaration from Lee's counsel only to the extent it discusses the meet and confer efforts required by statute. The court has not considered the attached exhibits. Finally, "points raised in the reply brief for the first time will not be considered, unless good reason is shown for failure to present them before." (*Proctor v. Vishay Intertechnology, Inc.* (2013) 213 Cal.App.4th 1258, 1273.)

DISCUSSION

Lee argues that the first cause of action (the only one alleged against him) fails to state sufficient facts as alleged against him because "Labor Code sections 201 and 202 do not impose individual liability, and Plaintiff fails to allege sufficient facts establishing that Defendant Lee was a qualifying managing agent under Labor Code section 203 via Labor Code section 558.1, or that he personally and willfully caused any violation as required by Labor Code section 203." (Notice of Demurrer and Demurrer at p. 2:9-12.)

Plaintiff argues Lee's demurrer is "procedurally improper" because Lee's meet and confer efforts were inadequate. But a failure to meet and confer is not a basis for overruling a demurrer. (Code Civ. Proc., § 430.41, subd. (a)(4).) The court will therefore consider the demurrer on its merits.

The basis for Lee's individual liability for a violation of Labor Code sections 201 or 202 can come only via Labor Code sections 203 and 558.1. Labor Code section 201 states that if "an employer *discharges* an employee, the wages earned and unpaid at the time of discharge are due and payable immediately." Labor Code section 202 states that if "an employee not having a written contract for a definite period *quits his or her employment*, his or her wages shall become due and payable not later than 72 hours thereafter, unless the employee has given 72 hours previous notice of his or her intention to quit, in which case the employee is entitled to his or her wages at the time of quitting." (Italics added.) Labor Code section 203 states that if "an employer willfully fails to pay, without abatement or reduction, in accordance with Sections 201, 201.3, 201.5, 201.6, 201.8, 201.9, 202, and 205.5, any wages of an employee who is discharged or who quits, the wages of the employee shall continue as a penalty from the due date thereof at the same rate until paid or until an action therefor is commenced."

Labor Code section 558.1 provides:

(a) Any employer or other person acting on behalf of an employer, who violates, or causes to be violated, any provision regulating minimum wages or hours and days of work in any order of the Industrial Welfare Commission, or violates, or causes to be violated, Sections 203, 226, 226.7, 1193.6, 1194, or 2802, may be held liable as the employer for such violation.

(b) For purposes of this section, the term "other person acting on behalf of an employer" is limited to a natural person who is an owner, director, officer, or managing agent of the employer, and the term "managing agent" has the same meaning as in subdivision (b) of Section 3294 of the Civil Code.

(c) Nothing in this section shall be construed to limit the definition of employer under existing law.

The first cause of action consists of conclusory allegations against “Defendants.” (Complaint at ¶¶ 54-56.) The first cause of action is entirely dependent upon general allegations incorporated by reference, such as the allegations in paragraph 5 that Lee “had plenary ability to supervise, manage, hire, and fire” Plaintiff. Neither first cause of action, nor the complaint in general, references Labor Code section 558.1.

The court in *Espinoza v. Hepta Run, Inc.* (2022) 74 Cal.App.5th 44, 59 (*Espinoza*) explained that “in order to ‘cause’ a violation of the Labor Code, an individual must have engaged in some affirmative action beyond his or her status as an owner, officer or director of the corporation.” At the same time, involvement in the day-to-day operations is not required. (*Ibid.*) Thus, for an individual “to be held personally liable he or she must have had some oversight of the company’s operations or some influence on corporate policy that resulted in Labor Code violations.” (*Ibid.*; accord, *Usher v. White* (2021) 64 Cal.App.5th 883, 896–897.) And statutory causes of action must be pleaded with particularity; “the plaintiff must set forth facts in his complaint sufficiently detailed and specific to support an inference that each of the statutory elements of liability is satisfied.” (*Mittenhuber v. City of Redondo Beach* (1983) 142 Cal.App.3d 1, 5.) This standard of “reasonable particularity” is more lenient than the pleading standard that applies to fraud claims, but it still requires sufficient detail. (See *Gutierrez v. Carmax Auto Superstores California* (2018) 19 Cal.App.5th 1234, 1261.)

Plaintiff contends the general allegations in paragraphs 5 and 6 of the complaint are sufficient to support the first cause of action as alleged against Lee. (Opposition at p. 4:7-26 and pp. 8:12-9:4.) But those paragraphs merely recite certain language from Labor Code section 558.1 without citing it. They are also alleged only on information and belief. Even when it is permissible to allege an ultimate fact on the basis of information and belief, a party cannot simply include the phrase “information and belief” without more. (*Gomes v. Countrywide Home Loans, Inc.* (2011) 192 Cal.App.4th 1149, 1158-59.) To plead an allegation on the basis of information and belief properly, a plaintiff must allege the facts or information that led him or her to infer or believe the truth of the ultimate factual allegation. (*Gomes, supra*, 192 Cal.App.4th at pp. 1158-59; see also *Brown v. USA Taekwondo* (2019) 40 Cal.App.5th 100, 1106 [“where factual allegations are based on information and belief, the plaintiff must allege ‘information that “lead[s] [the plaintiff] to believe that the allegations are true.”’”].) Allegations made on “information and belief” that lack supporting information are not accepted as true on demurrer. Because the first cause of action does not adequately state a cause of action against Lee as presently drafted, the demurrer is sustained.

A plaintiff bears the burden of proving that an amendment would cure the defect in cause of action identified on demurrer. (*Schifando v. City of Los Angeles* (2003) 31 Cal.4th 1074, 1081.) Plaintiff has not met this burden. The opposition argues the demurrer should be overruled and simply makes a generic request for leave to amend “should the court disagree.” (See Opposition at p. 9:22-23.) (*Shaeffer v. Califia Farms, LLC* (2020) 44 Cal.App.5th 1125, 1145 [“The onus is on the plaintiff to articulate the ‘specifi[c] ways’ to cure the identified defect, and absent such an articulation, a trial or appellate court may grant leave to amend ‘only if a potentially effective amendment [is] both apparent and consistent with the plaintiff’s theory of the case.’ ”].)

But because this is the first pleading challenge in this case, the court will grant Plaintiff leave to amend the first cause of action as alleged against Lee. The court does not grant leave

to amend any other causes of action and does not grant leave to add any new causes of action or new parties.

CONCLUSION

Defendant Lee's request for judicial notice is denied.

Defendant Lee's demurrer to the complaint's first cause of action on the ground that it fails to state sufficient facts as alleged against him is sustained with leave to amend. Any amended pleading must be filed and served no later than August 7, 2026.

The court will prepare the order.

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Calendar Line 9

Case Name: Suraj Viswanathan v. AN San Jose Luxury Imports

Case No.: 25CV476531

Plaintiff Suraj Viswanathan (Plaintiff) was hired as a sales manager by Defendant San Jose Luxury Imports d/b/a AutoNation Volvo Cars San Jose (Defendant) in February 2024. (Complaint at ¶ 9.) During his employment, Plaintiff complained that Defendant underpaid salespeople and improperly took money from his commission. (*Id.* at ¶¶ 10, 11, 13.) Plaintiff also complained that Defendant exhibited preferential treatment for Afghan-American employees. (*Id.* at ¶¶ 16, 17.) In February 2025, Plaintiff complained to Human Resources that he had been unfairly targeted by his manager. (*Id.* at ¶ 18.) Plaintiff alleges that in response to his complaint, he was “repeatedly marginalized, singled out, and harassed by Defendant Volvo San Jose.” (*Id.* at ¶ 20.) Defendant terminated Plaintiff on March 24, 2025. (*Id.* at ¶ 21.) Plaintiff alleges Defendant failed to pay him his final wages, including the full amount of his unpaid commissions. (*Id.* at ¶ 22.) Plaintiff sued Defendant in September 2025, alleging causes of action for retaliation, discrimination, wrongful termination, breach of contract, and failure to pay final wages.

At issue is Defendant’s petition to compel arbitration. Defendant relies on the Arbitration Agreement (Agreement) presented to Plaintiff during the onboarding process. Having considered the Arbitration Agreement and the circumstances of its execution, the court will grant the petition to compel arbitration.

LEGAL STANDARD

The Federal Arbitration Act Applies

The Federal Arbitration Act (FAA) controls, based on the language of the Agreement and because Defendant’s operations affect interstate commerce. The Agreement provides, “[a]ny arbitration hereunder shall be governed by the Federal Arbitration Act (9 U.S.C. § 1 et seq., hereinafter ‘FAA’) and not by any state law concerning arbitration, and except as modified by this Agreement, in conformity with the Federal Rules of Evidence, the Federal Rules of Civil Procedure, and the substantive law governing the claims pled.” (Declaration of Cynthia Diaz, Ex. 1.) Accordingly, pursuant to the Agreement, the California Arbitration Act (CAA) does not apply.

The basic coverage provision of the FAA “makes the law applicable to contracts evidencing a transaction ‘involving commerce’ (9 U.S.C. § 2), which language reflects that Congress intended the law’s coverage to extend to the full reach of its commerce clause power.” (*Nieto v. Fresno Beverage Co.* (2019) 33 Cal.App.5th 274, 279, internal citations omitted.) “Congress’ Commerce Clause power ‘may be exercised in individual cases without showing any specific effect upon interstate commerce’ if in the aggregate the economic activity in question would represent ‘a general practice . . . subject to federal control.’” (*Citizens Bank v. Alafabco, Inc.* (2003) 539 U.S. 52, 56-57, quoting *Mandeville Island Farms, Inc. v. American Crystal Sugar Co.* (1948) 334 U.S. 219, 236.)

Defendant is engaged in interstate commerce because its “business involves servicing vehicles that were manufactured outside of California and were in interstate commerce prior to arriving at the dealership for sale and servicing. Defendant also services vehicles for citizens

of other states, and as such serviced vehicles that crossed state lines.” (Diaz Decl. at ¶ 3.) Given the broad reach of the Commerce Clause, Defendant’s operations affect interstate commerce. (*United States v. Oliver* (1995) 60 F.3d 547, 550 [“cars are themselves instrumentalities of commerce, which Congress may protect”].)

Under the FAA, the court’s role is limited to determining “(1) whether a valid agreement to arbitrate exists, and if it does (2) whether the agreement encompasses the dispute at issue.” (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130.) To determine “whether a valid contract to arbitrate exists,” courts apply “ordinary state law principles that govern contract formation.” (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093, citations omitted; see also *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170.)

Plaintiff is Not a Transportation Worker under the FAA

Plaintiff argues he is exempt from the FAA as a “transportation worker.” (Opposition at pp. 11:27-12:28.) Section one of the FAA exempts from the FAA’s coverage “contracts of employment of . . . workers engaged in foreign or interstate commerce.” (9 U.S.C. § 1.) As one court has explained:

Section 1 of the FAA does not exclude all contracts of employment from the coverage of the FAA. Every circuit court to squarely address this issue has held that section 1 excludes from the coverage of the FAA only the employment contracts of workers actually engaged in the movement of goods in interstate commerce. Additionally, the Supreme Court’s interpretation of section 2 of the FAA in *Allied-Bruce Terminix Cos. v. Dobson*, 513 U.S. 265, 115 S.Ct. 834, 130 L.Ed.2d 753 (1995), strongly supports this narrow interpretation of section 1.

(*Cole v. Burns Intern. Sec. Services* (D.C. Cir. 1997) 105 F.3d 1465, 1467.)

Relevant factors that may be considered in determining whether an employee is a “transportation worker” include:

[F]irst, whether the employee works in the transportation industry; second, whether the employee is directly responsible for transporting the goods in interstate commerce; third, whether the employee handles goods that travel interstate; fourth, whether the employee supervises employees who are themselves transportation workers, such as truck drivers; fifth, whether, like seamen or railroad employees, the employee is within a class of employees for which special arbitration already existed when Congress enacted the FAA; sixth, whether the vehicle itself is vital to the commercial enterprise of the employer; seventh, whether a strike by the employee would disrupt interstate commerce; and eighth, the nexus that exists between the employee’s job duties and the vehicle the employee uses in carrying out his duties (i.e., a

truck driver whose only job is to deliver goods cannot perform his job without a truck).

(*Lenz v. Yellow Transp., Inc.* (8th Cir. 2005) 431 F.3d 348, 352.)

The exemption is limited to workers in the transportation industry, not just a worker who incidentally transports goods interstate as part of his or her job in an industry that would otherwise be unregulated. (*Hill v. Rent-A-Center, Inc.* (11th Cir. 2005) 398 F.3d 1286, 1289.)

Plaintiff did not directly transport goods interstate. He did not supervise transportation workers or have any real connection to a vehicle used for the delivery of goods. Plaintiff's duties involved driving and moving vehicles around the dealership, repositioning inventory, and test-driving vehicles. (Declaration of Suraj Viswanathan at ¶ 12.) Though Plaintiff handled vehicles that travel interstate, his duties were localized to the dealership, incidental to sales and service operations, and divorced from the continuous flow of interstate transit. Plaintiff is not a transportation worker under the statute. Plaintiff's job duties are distinguishable from the intrastate truck driver the United States Supreme Court recently found was a transportation worker. (*Flowers Foods, Inc. v. Brock* (2026) __ U.S. __ [146 S.Ct. 1358, 1362, 225 L.Ed.2d 1, 6] [finding that a truck driver who picked up "products from a warehouse in Colorado and delivers them to local stores, all without leaving the State" was a transportation worker].)

The FAA Preempts Labor Code sections 432.6 and 229

Plaintiff argues the Agreement is void under Labor Code section 432.6. (Opposition at pp. 13:24-14:5.) Labor Code section 432.6, subdivision (a) provides, "A person shall not, as a condition of employment, continued employment or the receipt of any employment-related benefit, require any applicant for employment to waive any right, forum, or procedural for a violation of any provision of the California Fair Employment and Housing Act . . . or this code." But the Ninth Circuit Court of Appeals has held that the "FAA preempts AB 51¹ as a whole to the extent it applies to arbitration agreements." (*Chamber of Commerce of the United States v. Bonta* (2023) 62 F.4th 473, 490.) The court finds that reasoning persuasive.

Plaintiff contends that if the CAA applies, his seventh cause of action for failure to timely pay final wages upon termination is exempt from arbitration under Labor Code section 229. (Opposition at p. 14:6-17.) As noted above, the FAA applies and not the CAA. (See *Perry v. Thomas* (1987) 482 U.S. 483, 491 [finding Lab. Code, § 229 is preempted by the FAA in cases governed by the FAA].)

ANALYSIS

There is a Valid Agreement to Arbitrate

Defendant seeks to compel arbitration under the Agreement that Defendant contends was executed on January 31, 2024. (Reply at p. 2:19-25.) "A party's acceptance of an agreement to arbitrate may be express, as when a party signs the agreement." (*Mendoza v.*

¹ Assembly Bill 51 is codified as Labor Code section 432.6.

Trans Valley Transport (2022) 75 Cal.App.5th 748, 777.) “Under Civil Code section 1633.7 . . . an electronic signature has the same legal effect as a handwritten signature.” (*Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.) The authenticity of an electronic signature may be established by detailing the “security precautions regarding transmission and use of an applicant’s unique username and password, as well as the steps an applicant would have to take to place his or her name on the signature line of the employment agreement.” (*Id.* at p. 1062.)

According to human resources business partner Cynthia Diaz, each applicant is given a unique login name to create a unique password. (Diaz Decl. at ¶ 7.) Applicants were instructed not to share their credentials with anyone and were instructed to report to security personnel if they suspected that their credentials were used by an unauthorized person. (*Ibid.*) “Only the applicant and/or employee had access to their unique login credentials, and no one at the company could see the password created by the employee.” (*Ibid.*) Once hired, a personnel file is created in an online system called iCIMS. (Diaz Decl. at ¶ 8.) Employees are then required to go through an onboarding process which includes reviewing new hiring documents, including the Arbitration Agreement. (*Ibid.*) After reviewing the documents, the employee signs the document to indicate their acknowledgement. Employees are informed that checking a box is equivalent to a handwritten signature. (*Ibid.*)

Regarding plaintiff’s onboarding, Defendant attaches a copy of the Arbitration Agreement. (Diaz Decl., Ex. 1.) The checkbox denoting the employee’s electronic signature is not checked. Defendant also attaches a spreadsheet exported from the iCIMS system software. (Diaz Decl., Ex. 2.) Diaz explains that where an “employee has signed the arbitration agreement, the task export indicates the ‘Completed Date’ with the Complete Label ‘Mark as Complete.’ ” (Diaz Decl., ¶ 11.) The spreadsheet indicates Plaintiff “completed” the Arbitration Agreement on January 31, 2024 at 7:14 p.m. (Diaz Decl., Ex. 2.) In the declaration filed with his opposition papers, Plaintiff declares he was presented with a set of onboarding documents when he was hired and that, “I recall signing those documents, but I was not aware that I was being presented with an arbitration agreement specifically, nor was any such agreement explained to me.” (Viswanathan Decl. at ¶ 4.) Defendant’s spreadsheet with a timestamp for completion—as well as Plaintiff’s admission that he signed the onboarding documents—are evidence of mutual assent. A valid agreement to arbitrate exists between the parties.

Plaintiff highlights the lack of a checkbox on exhibit one, arguing that Defendant failed to demonstrate an executed agreement. (Opposition, 3:1-15.) He also contends the spreadsheet is not adequately authenticated. (*Id.* at 3:27-4:9.) But those arguments are foreclosed by Plaintiff’s own declaration submitted with the opposition, where he admits, “I recall signing those documents.” (Viswanathan Decl. at ¶ 4.) To the extent Plaintiff argues he did not understand the legal significance of the Agreement when he signed it, “[a]n arbitration clause within a contract may be binding on a party even if the party never actually read the clause.” (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236.) The general rule is that “one who assents to a contract is bound by its provisions and cannot complain of unfamiliarity with the language.” (*Harris v. TAP Worldwide, LLC* (2016) 248 Cal.App.4th 373, 383.)

The Scope of the Agreement Covers Plaintiff’s Claims

The Agreement provides, in relevant part:

Both employee signing below (the “Employee”) and the Company (as defined below) agree that any claim, dispute, and/or controversy between them which would otherwise require or allow resort to any court or other governmental dispute, resolution forum arising from, related to, or having any relationship in connection whatsoever with Employee’s seeking employment with, employment by, termination of employment from, or other association with the Company, shall be resolved through mandatory neutral binding arbitration on an individual basis only . . . This Agreement covers all theories and disputes, whether styled as an individual claim, class action claim, private attorney general claim or otherwise, and includes but is not limited to, any claims of discrimination, harassment, breach of contract, tort, or alleged violations of statute, regulation, or ordinance, or any claims in equity.

(Diaz Decl., Ex. 1.)

Here, Plaintiff brings several causes of action concerning retaliation, discrimination, wrongful termination in violation of public policy, breach of contract, and failure to pay final wages. These claims all stem from his employment relationship with Defendant. The scope of the Agreement covers Plaintiff’s claims.

The Agreement is Not Unconscionable

Plaintiff argues the Arbitration Agreement is unenforceable because it is both procedurally and substantively unconscionable. The party challenging a contractual arbitration provision bears the burden of proving that it is both procedurally and substantively unconscionable. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126 (*OTO*).) This may be done on a sliding scale, where the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required, and vice versa. (*Id.* at pp. 125-126.) Procedural unconscionability focuses on oppression or surprise to the “weaker” party based on unequal bargaining power. Substantive unconscionability focuses on the terms of the agreement and whether they are overly harsh or one-sided. (*OTO, supra*, 8 Cal.5th at pp. 125-129.)

Procedural Unconscionability

Factors relevant to whether there was “oppression” in the signing of an agreement include: “(1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party’s review of the proposed contract was aided by an attorney.” (*OTO, supra*, 8 Cal.5th at pp. 126-127.)

Plaintiff is correct that the Arbitration Agreement is a contract of adhesion. He was required to sign the Agreement as a condition of his employment. (Opposition at pp. 5:14-6:1.) But “the cases uniformly agree that a compulsory predispute arbitration agreement is not

rendered unenforceable just because it is required as a condition of employment or offered on a ‘take it or leave it’ basis.” (*Lagatree v. Luce* (1999) 74 Cal.App.4th 1105, 1127.) This type of contract of adhesion in the employment context adds a modest amount of procedural unconscionability and, the amount of procedural unconscionability is increased when the fact of an adhesion contract is combined with other issues. (*Nguyen v. Applied Medical Resources Corp.* (2016) 4 Cal.App.5th 232, 248.)

The court also agrees with Plaintiff that the onboarding process was oppressive. Plaintiff was presented with several documents at the same time. His manager told him to complete his paperwork quickly because he could not start his job without doing so. (Viswanathan Decl. at ¶¶ 7, 8.) Plaintiff did not have an opportunity to ask questions or receive an explanation of the documents he was signing. (*Murrey v. Superior Court* (2023) 87 Cal.App.5th 1223, 1238 [finding procedural unconscionability where the plaintiff “had a short period of time to click boxes on her computer and electronically sign forms acknowledging she had received multiple lengthy documents”].) The Agreement here is also dense, with legal jargon and statutory references that are difficult for a layperson to understand. (Diaz Decl., Ex. 1 [referring to “Federal Arbitration Act”, “Federal Rules of Evidence”, “Federal Rules of Civil Procedure”, “Collective-Class Action Waiver”, “the National Labor Relations Act”, and “Private Attorney General Act”].) Procedural unconscionability has been found where the substance of the agreement is filled with statutory references and legal jargon. (*OTO, supra*, 8 Cal.5th at p. 128.)

Other elements of the Agreement identified by Plaintiff are not procedurally unconscionable. The Agreement here is a standalone three-page document. The waiver of jury trial is written in bold and capitalized letters. (Diaz Decl., Ex. 1.) There is an additional disclosure at the end of the document in capitalized letters before the signature line that states, “I FURTHER UNDERSTAND THAT THIS AGREEMENT REQUIRES ME TO ARBITRATE ON AN INDIVIDUAL BASIS ANY AND ALL DISPUTES THAT ARISE OUT OF MY EMPLOYMENT, UNLESS EXPRESSLY EXCLUDED IN THIS AGREEMENT.” (*Ibid.*) The Agreement, therefore, draws the relevant terms to Plaintiff’s attention by using bold and capitalized font and is not procedurally unconscionable in this regard. (Compare with *Higgins v. Superior Court* (2006) 140 Cal.App.4th 1238, 1250-1251 [noting that procedural unconscionability has been found where the presence of an arbitration provision has not been distinguished through bold letting, larger font, or capitalization].)

Plaintiff argues the Agreement fails to identify an arbitration provider or governing rules. (Opposition at pp. 7:19-8:6.) But a “plain reading of section 1281.6 yields only one reasonable interpretation—that the validity of an arbitration agreement is not contingent upon the agreement identifying a specific arbitrator or specifying a particular method for appointing an arbitrator.” (*HM DG, Inc. v. Amini* (2013) 219 Cal.App.4th 1100, 1108.) Here, the Agreement provides that the arbitrator is to be mutually selected by the parties, and that if they “cannot agree on an alternative dispute resolution provider, an arbitrator will be appointed according to law.” (Diaz Decl., Ex. 1.) The process for selecting an arbitrator is not concealed from Plaintiff. The court does not find the failure to specify an arbitration provider procedurally unconscionable.

Given that the Agreement is a contract of adhesion, the oppressive nature of the onboarding process, and the dense legal jargon that permeates the Agreement, the court concludes that a moderate degree of procedural unconscionability exists.

Substantive Unconscionability

Substantive unconscionability focuses on the actual terms of the agreement and evaluates whether they create overly harsh or one-sided results. (*Armendariz Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114 (*Armendariz*).) The court assesses whether the agreement reallocates risks in an objectively unreasonable or unexpected matter. (*Jones v. Wells Fargo Bank* 112 Cal.App.4th 1527, 1539.) “In assessing substantive unconscionability, the paramount consideration is mutuality.” (*Pinela v. Neiman Marcus Group, Inc.* (2015) 238 Cal.App.4th 227, 241, internal citation and quotation marks omitted.) Arbitration agreements are substantively unconscionable where they lack a “modicum of bilaterality,” “without at least some reasonable justification for such onesidedness based on ‘business realities.’” (*Armendariz, supra*, 24 Cal.4th at p. 117.)

Armendariz instructs that there are “five minimum requirements for the lawful arbitration of such rights pursuant to a mandatory employment arbitration agreement. Such an arbitration agreement is lawful if it ‘(1) provides for neutral arbitrators, (2) provides for more than minimal discovery, (3) requires a written award, (4) provides for all of the types of relief that would otherwise be available in court, and (5) does not require employees to pay either unreasonable costs or any arbitrators’ fees or expenses as a condition of access to the arbitration forum. Thus, an employee who is made to use arbitration as a condition of employment “effectively may vindicate [his or her] statutory cause of action in the arbitral forum.” ’ ” (*Armendariz, supra*, 24 Cal.4th at p. 102.)

The Agreement satisfies the minimum requirements described by *Armendariz*. The Agreement provides for a neutral arbitrator in that the arbitrator selected “shall be a retired judge or licensed attorney with experience serving as an arbitrator, as mutually agreed by the Parties.” (Diaz Decl., Ex. 1.) The parties may also petition the court to appoint an arbitrator. (*Ibid.*) The Agreement incorporates the Federal Rules of Evidence and Federal Rules of Civil Procedure. (*Ibid.*) The Agreement also requires the arbitrator to issue a decision in writing within 45 days of the arbitration hearing. (*Ibid.*) The Agreement does not limit statutory remedies. And it provides that the “Company will pay all arbitrator’s fees and other unique costs relating to the arbitration forum.” (*Ibid.*) Thus, no unreasonable costs are imposed on Plaintiff.

Plaintiff points to several terms that he contends are substantively unconscionable. Plaintiff argues the Agreement is unfairly one-sided. (Opposition at pp. 8:14-10:9.) Plaintiff argues that pursuant to Civil Code section 1642, the court should read the Arbitration Agreement and Confidentiality Agreement together because the execution of these contracts were part of a single transaction. According to Plaintiff, paragraph 7 of the Confidentiality Agreement grants Defendant the right to seek an injunction to enforce its confidentiality and trade secrets provisions, and waives the obligation to prove irreparable harm. Under this section, Plaintiff is prohibited from using Company trade secrets to compete with the Company. Plaintiff maintains “[t]hese are restrictions that Defendant, as the stronger party, is far more likely to enforce against Plaintiff than the reverse.” (Opposition at p. 9:7-9.) But Plaintiff’s cited language that “Employee agrees the Company shall be entitled to the remedies of injunction (including temporary restraining order and/or preliminary injunction), specific performance and other equitable relief to redress any breach or to prevent any threatened breach” does not specifically waive the requirement for irreparable harm. Further, “a contract

can provide a ‘margin of safety’ that provides the party with superior bargaining strength a type of extra protection for which it has a legitimate commercial need without being unconscionable.” (*Armendariz, supra*, 24 Cal.4th at p. 117.) Protecting valuable trade secrets and proprietary and confidential information from public disclosure is a legitimate commercial need. (*Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1250.) Thus, the court does not find the Agreement unduly harsh or one-sided in this regard. In any event, Plaintiff has neither attached a copy of the Confidentiality Agreement to his opposition nor set forth its full terms verbatim. It is the opposing party’s burden to produce evidence of any fact necessary to the defense by a preponderance of the evidence. (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413.) Plaintiff has not satisfied his burden here by failing to provide the full text of the Confidentiality Agreement to the court.

Plaintiff argues the scope of “Company” subject to the Agreement is unfairly expansive. (Opposition at pp. 10:10-11:6.) The Agreement defines “Company” as “the entity Employee is employed by, together with its parents, subsidiaries, affiliates, predecessors, successors and assigns, and each of their respective owners, directors, officers, managers, employees, vendors, and agents.” (Diaz Decl., Ex. 1.) In *Cook v. University of Southern California* (2024) 102 Cal.App.5th 312, 326-327, the plaintiff was required to arbitrate any claims she had with USC’s related entities, but the related entities were not required to arbitrate their claims with her. The related entities there were not included in the definition of “University” and were separately defined. By contrast, here the Agreement defines the scope of “Company” as noted above, and provides that “[b]oth employee signing below (the ‘Employee’) and the *Company (as defined below)* agree that any claim, dispute, and/or controversy between them . . . shall be resolved through mandatory, neutral, binding, arbitration on an individual basis only.” (Diaz Decl., Ex. 1.) The language of the Agreement is therefore mutual in that the enumerated parties encompassing the “Company” are also required to arbitrate their claims with Plaintiff.

Plaintiff argues the Private Attorney General Act (PAGA) representative action waiver is contrary to public policy. (Opposition at p. 11:12-25.) The Agreement provides for a Class-Collective Action Waiver as follows:

Employee understands and acknowledges that the terms of this Agreement include a waiver of any substantive or procedural rights that Employee may have to bring or participate in an action on a class, collective, private attorney general, representative or other similar basis. This Class-Collective Action Waiver does not take away or restrict the right of Employee to pursue Employee’s own claims, but only requires that such claims be pursued in Employee’s own individual capacity, rather than on a class, collective, private attorney general, representative or similar basis.

(Diaz Decl., Ex. 1.)

In *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, 644-645, the United States Supreme Court left the holding of *Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380 undisturbed that a blanket PAGA waiver is unconscionable under California law. (See *Alberto, supra*, 91 Cal.App.5th at p. 494; see also *Adolph v. Uber Technologies* (2023) 14 Cal.5th 1104, 1117.) However, the Agreement here is not a wholesale

waiver because it waives only representative claims. The Agreement is clear that the covered claims are to proceed on an individual basis only, and the waiver is therefore, not unlawful. (See *Valencia v. Mattress Firm, Inc.* (C.D. Cal. Feb. 16, 2023) C 22-06875 WHA, 2023 U.S. Dist. LEXIS 26863 at *8 [noting that the agreement did not operate as a wholesale waiver because “representative actions” referred to non-individual or class claims, allowing plaintiff to raise the individual portion of her PAGA claim]; see also *Martinez-Gonzalez v. Elkhorn Packing Co., LLC* (N.D. Cal. 2022) 635 F.Supp.3d 883, 899 [“The waiver here is *not* a wholesale waiver of Plaintiff’s individual and representative PAGA rights; it only waives Plaintiff’s right to file a non-individual PAGA claim on behalf of other workers. Accordingly, the waiver provision here is not unlawful.”].) Since the waiver is not unlawful, the court need not consider its severability, but in any event notes that the Agreement contains a severability clause that is identical to that in *Viking River*, requiring the collective action to proceed in court should the waiver be found invalid. Plaintiff’s complaint also does not bring any PAGA claims. The Agreement is not substantively unconscionable in this regard.

The Agreement is not substantively unconscionable. The petition to compel arbitration is GRANTED. This action is STAYED in its entirety pending the outcome of arbitration. (Code Civ. Proc. § 1281.4; 9 U.S.C. § 3.)

CONCLUSION

The petition to compel arbitration is GRANTED. This action is STAYED in its entirety pending the outcome of arbitration. A case status review regarding arbitration will be held on July 8, 2027, at 11:00 a.m. in Department 10.

The court will prepare the order.

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Calendar Lines 10 and 11

Case Name: Niloufar Nouri et al. v. Tesla Insurance Services, Inc. et al.

Case No.: 25CV458886

This is an action brought by plaintiffs Niloufar Nouri and Seyed Sadroldin Zahiroleslamzadeh (Plaintiffs) against defendants Tesla Insurance Services, Inc. (TIS) and Tesla Motors, Inc. (Tesla). The case involves a dispute about insurance coverage for a car Plaintiffs leased from Tesla. Plaintiffs allege that insurance obtained for a 2021 Tesla they leased from Tesla also covered a 2024 Tesla Plaintiffs leased upon trading in the older car. Plaintiffs' original complaint was filed in February 2025. It alleged three causes of action: (1) breach of contract; (2) insurance bad faith; and (3) violations of the unfair competition law (UCL). All three causes of action were brought against both defendants. A copy of the insurance policy was attached to the complaint as exhibit 1.

Tesla did not challenge the complaint. TIS demurred to all three causes of action, which was heard by the court (Judge Chung) in September 2025. On the first cause of action, the court expressly found that Plaintiffs' interpretation of the ambiguous contract was reasonable. (See Sept. 11, 2025 order at pp. 6:22-7:24.) The court sustained the demurrer to the first cause of action with leave to amend because there were no allegations about the policy in effect on February 28, 2024. (*Id.* at p. 8:7-13 and fn. 1.) The court sustained the demurrer to the second cause of action with leave to amend because it was dependent upon the first. (*Id.* at p. 9:1-4.) The court found that the third cause of action was not, as TIS claimed, expressly based on Insurance Code section 790.03. (*Id.* at p. 10:3-15.) The demurrer to the third cause of action was sustained with leave to amend because it did not allege that any violations of California's Financial Responsibility Laws had actually occurred, and because the breach of contract claim could not serve as the predicate for the UCL claim for which the demurrer to the first cause of action had been sustained. (*Id.* at pp. 11:11-14:18.) The court takes judicial notice of the September 11, 2025 order on its own motion. (Evid. Code, § 452, subd. (d).)

Plaintiffs filed the operative first amended complaint (FAC) in September 2025. It alleges the same three causes of action. A copy of the insurance policy is again attached as exhibit 1.

At issue is a demurrer to the FAC by TIS and a motion for judgment on the pleadings brought by Tesla. Plaintiffs oppose.

LEGAL STANDARDS FOR DEMURRER

In ruling on a demurrer, the court accepts as true all properly pleaded material factual allegations but does not accept as true contentions, deductions or conclusions of fact or law. (*Valero v. Spread Your Wings, LLC* (2023) 88 Cal.App.5th 243, 253.) Code of Civil Procedure section 430.60 states that "[a] demurrer shall distinctly specify the grounds upon which any of the objections to the complaint, cross-complaint, or answer are taken. Unless it does so, it may be disregarded." The California Rules of Court also require that the demurrer itself (distinct from a supporting memorandum) specify the target of any objection and the grounds. (See Cal. Rules of Court, rules 3.1103(c), 3.1112(a), 3.1320(a) ["Each ground of demurrer must be in a separate paragraph and must state whether it applies to the entire complaint, cross-complaint, or answer, or to specified causes of action or defenses."].)

Where a demurrer is to an amended complaint or cross-complaint, the court “may consider the factual allegations of prior complaints, which a plaintiff may not discard or avoid by making contradictory averments, in a superseding, amended pleading.” (*Berg & Berg Enterprises, LLC v. Boyle* (2009) 178 Cal.App.4th 1020, 1034, internal quotations omitted (*Berg & Berg*); see also *Doe v. United States Youth Soccer Assoc.* (2017) 8 Cal.App.5th 1118, 1122.) “[A] general demurrer may not be sustained, nor a motion for judgment on the pleadings granted, as to a portion of a cause of action.” (*Daniels v. Select Portfolio Servicing, Inc.* (2016) 246 Cal.App.4th 1150, 1167, disapproved in part on other grounds by *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905.)

The court cannot consider extrinsic evidence when ruling on a demurrer. The court has considered the declaration of TIS counsel Min King only to the extent it discusses the meet and confer efforts required by statute. The court has not considered any of the attached exhibits. The court has not considered the declaration from legal secretary Lesa Lewis or any of the attached exhibits. The court has also not considered the declaration from Plaintiffs’ counsel Joshua Markowitz submitted with the opposition or any of the attached exhibits. Finally, “points raised in the reply brief for the first time will not be considered, unless good reason is shown for failure to present them before.” (*Proctor v. Vishay Intertechnology, Inc.* (2013) 213 Cal.App.4th 1258, 1273.)

DISCUSSION

TIS demurs to all three causes of action in the FAC on the ground that they fail to state sufficient facts. (See Notice of Demurrer and Demurrer.) Given Judge Chung’s prior determinations regarding the sufficiency of some of the allegations in the original complaint, the court’s present task does not include revisiting or reconsidering whether prior determinations regarding allegations in the complaint were correct.

First Cause of Action

To state a breach of contract claim, a plaintiff must allege: 1) the existence of a (valid) contract; 2) Plaintiff’s performance or excuse for nonperformance; 3) Defendant’s breach, and; 4) damage to Plaintiff resulting from that breach. (*Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal.App.4th 221, 228 (*Rutherford Holdings*)). The FAC alleges that based on the express terms of the policy, the coverage for the new replacement vehicle was the same as that for the prior vehicle.

TIS contends that the insurance policy attached to the FAC and complaint can only be interpreted as covering Plaintiffs’ 2021 Tesla, and not their replacement 2024 Tesla. TIS argues there is no coverage because Plaintiffs have not alleged “that they ever actually asked their insurance carrier, TIS, to add the new 2024 Tesla to the policy as required by the policy’s terms.” (See memorandum at p. 4:21-25.) This is an improper attempt to reargue a determination already made by Judge Chung. The prior demurrer order expressly determined that the insurance policy was ambiguous; that the ambiguous language should be construed against TIS; and that Plaintiffs’ interpretation of the policy as covering their replacement Tesla was reasonable and controlled over the interpretation urged by TIS. (Sept. 11, 2025 Order at pp. 6:10-7:24; *Rutherford Holdings, supra*, 223 Cal.App.4th at 229-230 [A plaintiff’s reasonable interpretation of an ambiguous contract is accepted as true on demurrer].)

The court will not reconsider Judge Chung's legal determination. "[T]he interpretation of an insurance policy is a legal rather than a factual determination." (*Chatton v. National Union Fire Ins. Co.* (1992) 10 Cal.App.4th 846, 865, citations omitted.) "In general, interpretation of an insurance policy is a question of law that is decided under settled rules of contract interpretation." (*State of California v. Continental Ins. Co.* (2012) 55 Cal.4th 186, 194 (*Continental*)). If policy language is clear and explicit, it governs. (*Ibid.*) But a policy provision will be considered ambiguous "when it is capable of two or more constructions, both of which are reasonable." (*Id.*, quoting *Waller v. Truck Ins. Exchange, Inc.* (1995) 11 Cal.4th 1, 18.)

The court has not considered arguments made for the first time in TIS's reply. The demurrer to the first cause of action is overruled.

Second Cause of Action

Insurance bad faith is a term used to describe causes of action for breach of the implied covenant of good faith and fair dealing in the insurance context. An implied covenant of good faith and fair dealing is implicit in an insurance contract. (See *Foley v. Interactive Data Corp.* (1988) 47 Cal.3d 654, 683.) "Before an insurer can be found to have acted in bad faith for its delay or denial in the payment of policy benefits, it must be shown that the insurer acted *unreasonably or without proper cause*." (*Jordan v. Allstate Ins. Co.* (2007) 148 Cal.App.4th 1062, 1072 (*Jordan*); see also *Tilbury Constructors, Inc. v. State Compensation Ins. Fund* (2006) 137 Cal.App.4th 466, 475 [citing *Love v. Fire Insurance Exchange* (1990) 221 Cal.App.3d 1136, 1151].)

TIS argues that the second cause of action "fails because plaintiffs cannot allege a breach of a written contract on the part of TIS, a necessary component of this cause of action." TIS contends that it "could not have breached the implied covenant of good faith and fair dealing pursuant to an insurance policy that simply did not provide coverage for a vehicle that was never listed in the policy." (Memorandum at p. 5:6-18.) Again, this interpretation of the policy was already rejected by Judge Chung.

Because the demurrer to the first cause of action has been overruled, the demurrer to the second cause of action as alleged in the FAC is also overruled.

Third Cause of Action

"Business and Professions Code section 17200 et seq. prohibits unfair competition, including unlawful, unfair, and fraudulent business acts. The UCL covers a wide range of conduct. It embraces anything that can properly be called a business practice and that at the same time is forbidden by law." (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1143 (*Korea*)). "Unlawful business acts or practices within the meaning of the UCL include anything that can properly be called a business practice and that at the same time is forbidden by law." (*McKell v. Washington Mutual, Inc.* (2006) 142 Cal.App.4th 1457, 1474 (*McKell*) [citations and quotation marks omitted].) "A practice is forbidden by law if it violates any law, civil, or criminal, statutory or judicially made, federal, state, or local." (*Ibid.*, internal citations omitted.)

Because the demurrer to the first cause of action has been overruled, it can now provide support for the third cause of action. The allegations of the first cause of action are incorporated into the third by reference, and a demurrer does not lie to only part of a cause of action. (See FAC at ¶¶ 30-33; *Daniels, supra*, 246 Cal.App.4th at 1167.) The demurrer can be overruled on this basis alone. TIS's argument that a UCL claim must be based on a specific statutory violation is incorrect.

TIS repeats an argument already rejected by Judge Chung; TIS contends the third cause of action is based on Insurance Code section 790.03. (9/11/25 order at 9:6-10:15.) As alleged in the FAC, the third cause of action is not based on this code section or conduct amounting to a violation of this code section. (See memorandum at pp. 6:1-8:12.)

TIS's argument that the third cause of action is barred because adequate remedies are available at law is incorrect. (Bus. & Prof. Code, § 17205 ["Unless otherwise expressly provided, the remedies or penalties provided by this chapter are cumulative to each other and to the remedies or penalties available under all other laws of this state."].) While the court agrees that the third cause of action does not allege a violation of Vehicle Code section 16000 et seq. (and is not a substitute for a cause of action specifically alleging such a claim), such an allegation is not necessary for Plaintiffs to seek the only relief specifically sought in the third cause of action, an injunction "requiring Defendants to timely update insurance policies when vehicles are replaced." (FAC at ¶ 33.)

The court has not considered arguments made for the first time in TIS's reply brief.

TIS's demurrer to the third cause of action in the FAC is overruled.

LEGAL STANDARDS FOR MOTION FOR JUDGMENT ON THE PLEADINGS

A motion for judgment on the pleadings "is equivalent to a belated general demurrer." (*Sprague v. County of San Diego* (2003) 106 Cal.App.4th 119, 127.) It has the same function as a general demurrer, but it is made after the time for demurrer has expired. Except as provided by statute (Code Civ. Proc., § 438), the rules governing demurrers apply. As with a demurrer, in ruling on a motion for judgment on the pleadings the court accepts as true all properly pleaded material factual allegations, but does not accept as true contentions, deductions, or conclusions of fact or law. (See *Valero, supra*, 88 Cal.App.5th at 253.) Extrinsic evidence cannot be considered. As with a demurrer, a motion for judgment on the pleadings cannot be granted as to only part of a cause of action. (See *Daniels, supra*, 246 Cal.App.4th at 1167.)

The court has considered the declaration from Tesla counsel Eleonora Antonyan only to the extent it discusses the required meet and confer efforts. The court has not considered the attached exhibit.

DISCUSSION

Tesla's motion is brought pursuant to Code of Civil Procedure section 438 and is directed at the entire FAC on the basis that it "fails to state facts sufficient to constitute a cause of action against Tesla Motors." (Notice of Motion at p. 2:5-7.) As with a demurrer directed

to an entire pleading, a motion for judgment on the pleadings directed at an entire pleading fails if any one cause of action states sufficient facts.

Tesla notes that the entire FAC is based on Plaintiffs' insurance policy with TIS. That policy, attached as exhibit 1 to the FAC, establishes that Tesla is not a party to the contract. (See *Barnett v. Fireman's Fund Ins. Co.* (2001) 90 Cal.App.4th 500, 505 (“[T]o the extent the factual allegations conflict with the content of the exhibits to the complaint, we rely on and accept as true the contents of the exhibits and treat as surplusage the pleader’s allegations as to the legal effect of the exhibits.”].)

Most allegations in the FAC refer to TIS and Tesla collectively as “Defendants.” (See FAC at ¶ 9.) The three causes of action do not make any distinction between the two. Nor does the FAC allege actions by Tesla specifically that constitute a breach of contract, insurance bad faith, or unfair business practices. Tesla argues that the generic allegations of a joint venture or agency are insufficient to support any of the FAC’s causes of action as alleged against it.

The general allegation of a joint venture in paragraph 5 of the FAC is inadequate and cannot support any cause of action as alleged against Tesla. A joint venture is defined as an undertaking by two or more persons jointly to carry out a single business enterprise for profit. (*Unruh-Haxton v. Regents of University of California* (2008) 162 Cal.App.4th 343, 370.) The elements of a joint venture include: (1) the members must have joint control over the venture (even though they may delegate it); (2) they must share the profits of the undertaking; and (3) the members must each have an ownership interest in the enterprise. (*Ibid.*) Whether a joint venture actually exists depends on the intention of the parties. And where the evidence is in dispute, the existence or nonexistence of a joint venture is a question of fact to be determined by the trier of fact. (*Ibid.*) The FAC fails to adequately allege a joint venture by Tesla and TIS.

The boilerplate agency and ratification allegations in paragraphs 7 and 8 are legal conclusions that the court does not accept as true for purposes of this motion for judgment on the pleadings. They do not support any cause of action as alleged against Tesla. Where, as here, the operative pleading “does not allege any conduct on [the defendant’s] part caused any harm, loss or damage” on the plaintiff’s part, the inclusion of boilerplate agency allegations does “not result in the complaint stating a cause of action against” the defendant. (*Falahati v. Kondo* (2005) 127 Cal.App.4th 823, 829.)

Tesla’s motion for judgment on the pleadings directed at the entire FAC is therefore granted.

As with a demurrer, a plaintiff bears the burden of demonstrating that an amendment could cure the identified defect. The opposition fails to meet this burden. It argues the motion should be denied, and requests leave to amend the joint venture allegations only if the court finds those allegations insufficient. The opposition does not discuss the boilerplate agency allegations, despite Tesla challenging them as well. (See Tesla’s memorandum at p. 8:8-28.)

Because Tesla made a tactical decision not to bring any challenge to the original complaint, and this issue is raised for the first time in a challenge to the FAC, the court will grant leave to amend the general agency and joint venture allegations in paragraphs 5, 7, and 8

of the FAC. The court does not grant leave for Plaintiffs to make any other amendments, including any amendments to any of the three causes of action. The court does not grant leave to add new causes of action or parties.

CONCLUSION

Defendant TIS's demurrer to the FAC is overruled in its entirety.

Defendant Tesla's motion for judgment on the pleadings directed at the entire FAC is granted with leave to amend. Any amended pleading must be filed and served no later than August 3, 2026.

The court will prepare the order.

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